Figure 69.3 This V-bottom fails to reach its potential.

After bottoming at B, the stock begins to recover. It climbs on optimism that the quarterly earnings will be exceptional. Instead, the company announces earnings at C that miss expectations, sending the airline crashing into the ground. The recovery to D never materializes, and the pattern fails to fulfill its potential.

This chart is one of the reasons I usually don't buy a stock within three weeks of an earnings announcement. It's too dangerous. (And yes, I *will* hold a stock through an earnings announcement even as I cross my fingers.)

The retrace of the AB drop by the BC rise is 39%, meeting the minimum requirement of 38.2% by a hair. The plunge from A to B is steep (more than 15%) and short; the stock turns at B and heads back up. The volume trend (E) is upward in this example. All of that means the pattern qualifies as a valid V-bottom even if it didn't work as expected.

Statistics

Table 69.2 shows general statistics for the V-bottom, so let's discuss them. Because the breakout is always upward, there are no downward breakouts to report.